17/12/24 M/S

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THIRD SEMESTER B.Tech EXAMINATION, DECEMBER-2024

FINANCE FOR NON FINANCE PROFESSIONALS

Time: 3 Hours **Maximum Marks: 100**

Instructions: i. Missing data may be suitably assumed.

ANSWER ALL QUESTIONS

		PART-A	**5 x2=10**		
1.	**a.**	Define 'double-entry accounting' and provide an example.	L1	CO1	**02**
	b.	Explain the purpose of the journal in accounting and why it is considered the primary book of entry.	L2	CO2	**02**
	c.	Describe the process of triple column cash book.	L2	CO3	**02**
	d.	Briefly explain the significance of the balance sheet for a sole trader.	L2	CO4	**02**
	e.	Define current ratio.	L1	CO5	**02**
		PART-B	**6 X 5=30**		
2.	**a.**	Explain the accounting convention of full disclosure with an example.	L2	CO1	**05**
		OR			
	b.	Elucidate the dual aspect concept, highlighting how every transaction has two aspects – a debit and a credit – ensuring the accounting equation remains balanced.	L2	CO1	**05**
3.	**a.**	Differentiate between a journal and a ledger. How are they interconnected in the accounting process?	L3	CO2	**05**
		OR			
	b.	Mr.Sam started a business of trading machines with Cash Rs.25,000 and carried out the following transactions. Help Mr.Sam to record his transactions in the Journal.	L3	CO2	**05**

Purchased machinery from Machine House	Rs.10,000
Purchased furniture for cash	Rs.2,500
Sold goods on credit to Amar	Rs.1,000
Received commission	Rs.250
Sold goods	Rs.800
Purchased goods	Rs.5000
Paid salary	Rs.2,700
Received cash from Amar	Rs.500
Sam withdrew cash for personal purpose	Rs.750

4.	**a.**	Explain the significance of maintaining a cash book in business operations.	L2	CO3	**05**

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		OR			
	b.	Record the following transactions in a bank column cash book for August 2024 August 01 Started business with cash Rs.80,000 August 04 Deposited in to bank Rs.50,000 August 10 Received cash from Rahul Rs.1,000 August 15 Bought goods for cash Rs.8,000 August 22 Bought goods by cheque Rs.10,000 August 25 Paid to Shyam by cash Rs.20,000 August 30 Drew from bank for office use Rs.2,000 August 31 Rent paid by cheque Rs.1,000	L3	CO3	**05**
5.	**a.**	What components are included in the profit and loss account of a sole trader?	L2	CO4	**05**
		OR			
	b.	Pass entries in the books of Ashok Bros. assuming that all transactions have been entered within Delhi and assuming CGST@6% and SGST@6%. 2024 Jan-02 Purchased goods for Rs.2,00,000 Jan-05 Sold goods for Rs.3,00,000 on credit Jan-10 Purchased computer printer for office for Rs.50,000 and payment made by cheque Jan-20 Paid legal consultation fee Rs.10,000 Jan-22 Paid rent Rs.20,000 by cheque	L3	CO4	**05**
6.	**a.**	Analyze the below cases: a) Quick Assets Rs.1,50,000, Inventory (Stock) Rs.40,000, Prepaid Expenses Rs.10,000, Working Capital Rs.1,20,000. Calculate Current Ratio. b) Current Assets Rs.3,00,000, Inventories Rs.60,000, Working Capital Rs.2,52,000. Calculate Acid Test Ratio.	L4	CO5	**05**
		OR			
	b.	Why ratio analysis is considered an essential tool in assessing a company's financial health?	L2	CO5	**05**
7.	**a.**	What are the advantages of maintaining a ledger?	L2	CO2	**05**
		OR			
	b.	Describe the advantages of using comparative-size statements in financial analysis.	L2	CO2	**05**

		PART-C	6 X 10=60		
8.	a.	Explain all the Concepts and Conventions of Accounting.	L2	CO1	10
		OR			
	b.	State the objectives and limitations of Accounting.	L2	CO1	10
9.	a.	Discuss the importance of Golden Rules of Accounting in maintaining accurate financial records.	L2	CO3	10
		OR			
	b.	Journalize the following transactions in the books of Ibrahim:- 2024		CO3	10
		June 10 Ibrahim commenced business with a capital of Rs.2,00,000.			
		June 12 Bought Furniture for cash Rs.20,000.			
		June 13 Paid Rent to the shop owner Mr. Murugan Rs.5,000.			
		June 15 Paid cash into bank Rs.1,50,000			
		June 17 Bought Goods for cash Rs.10,000 from Jain & Co.,			
		June 18 Bought Goods on credit from Ramdas & Bros. for Rs.10,000.			
		June 19 Bought Machinery from Reliance Ltd. and paid by cheque Rs.25,000.			
		June 20 Sold goods on credit to Mr. Natekar for Rs.8,000			
		June 21 Paid weekly wages to workers Rs.5,000			
		June 25 Paid to M/s Ramdas and Bros. by cheque Rs.5,000			
		June 29 Received from Mr. Natekar Rs.2,000			
10.	a.	Using the triple column cash book format and record the following transactions for the month of July 2024:	L3	CO4	10
		July 1 Cash balance brought forward from June Rs.30,000			
		July 1 Bank balance brought forward from June Rs.50,000			
		July 4 Cash sales for the day Rs.25,500			
		July 8 Paid rent by cheque Rs.11,000			
		July 9 Goods sold to Joseph Rs.16,000			
		July 10 Paid Salary Rs.5,000			
		July 12 Received cash from Joseph in full settlement Rs.15,200			
		July 15 Bank deposit Rs.10,000			
		July 16 Good sold on credit to Dev Rs.8,000			
		July 17 Purchased goods from AK Traders Rs.12,000			
		July 20 Cash purchase of equipment Rs.15,000			

		July 22 Purchase goods from Siya on Credit Rs.20,000 July 25 Paid to AK Traders in full settlement by Cheque Rs.10,000 July 27 Cash received from Dev Rs.6,500 July 28 Cheque paid to Siya Rs.15,000			
		OR			
	b.	Discuss the specific purposes and advantages of each type of cash book.	L2	CO4	**10**
11.	**a.**	Following is the Trial Balance as on 31st March, 2024. Prepare Trading and Profit and Loss Account and Balance Sheet:	L4	CO5	**10**

Particulars	Dr. Amount	Cr. Amount
Stock on 1st April, 2023	8,000	
Sales		2,20,000
Purchases	1,26,000	
Productive Wages	56,500	
Salaries	16,000	
Stores Consumed	6,050	
Carriage	3,050	
Rent	5,200	
Insurance	1,320	
Machinery	52,000	
Building	67,000	
Capital		1,45,600
Sundry Debtors	44,000	
Sundry Creditors		20,000
Secured Loan		16,000
Furniture	3,350	
General Expenses	2,600	
Cash in Hand	1,930	
Bad Debts	1,020	
Bank	6,580	
Input CGST	3,000	
Input SGST	3,000	
Output CGST		2,500
Output SGST		2,500
Total	4,06,600	4,06,600

i. Stock on 31st March, 2024, Rs.20,600.

		You are to make adjustments in respect of the following: (a) Depreciate Machinery at 10% p.a. (b) Make a provision @ 5% for Doubtful Debts. (c) Provide discount on debtors @ 2.5%. (d) Rent Outstanding Rs.800. (e) Insurance Prepaid Rs.120.			
		OR			
	b.	Explain the role of financial statements in decision-making for various stakeholders such as investors, creditors, and management.	L2	CO5	**10**
12.	**a.**	State the objectives and limitations of Financial Statement Analysis.	L2	CO6	**10**
		OR			
	b.	Prepare Common-size Statement of Profit and Loss from the following Statement of Profit and Loss:	L4	CO6	**10**

Particulars	Year I (Rs.)	Year II (Rs.)
I. Income		
Revenue from Operations	14,00,000	16,00,000
II. Expenses		
Purchases of Stock	9,00,000	10,00,000
Change in Stock	1,00,000	1,80,000
Finance Costs	80,000	80,000
Other Expenses	90,000	1,30,000
Total	11,70,000	13,90,000
III. Net Profit	2,30,000	2,10,000
IV. *Less: Tax*	40,000	36,000
V. Net Profit After Tax	1,90,000	1,74,000

13.	**a.**	Following are the balances extracted from the books of Dinakar on 31st March, 2024:	L3	CO4	**10**

Particulars	**Amount**
Capital	1,90,000
Drawings	7,000
Plant and Machinery	1,20,000
Delivery Vehicle	26,000
Sundry Debtors	36,000
Sundry Creditors	26,000
Purchases	20,000
Sales	42,000

Wages	8,000
Cash at Bank	26,000
Salaries	8,000
Repairs	1,900
Stock on 1st April, 2022	16,000
Rent	4,500
Manufacturing Expenses	1,500
Bills Payable	23,500
Bad Debts	5,000
Carriage Inwards	1,600

Prepare Trading and Profit and Loss Account and Balance Sheet as at 31st March, 2024 after following adjustments are made:

(i) Closing Stock was Rs.16,000.

(ii) Depreciate Plant and Machinery @ 10% and Delivery Vehicle @ 15%.

OR

b. Following is the Balance Sheet of Radha Ltd. as at 31st March, 2024: L4 CO4 **10**

Particulars	31.03.2024 (Rs.)	31.03.2023 (Rs.)
I. EQUITY AND LIABILITIES 1. Shareholders' Funds		
(a) Share Capital	15,00,000	10,00,000
(b) Reserves and Surplus	10,00,000	10,00,000
2. Non-Current Liabilities		
Long-term Borrowings	8,00,000	2,00,000
3. Current Liabilities		
(a) Trade Payables	5,00,000	3,00,000
Total	38,00,000	25,00,000
II. ASSETS		
1. Non-Current Assets		
Fixed Assets:		
(i) Tangible Assets	25,00,000	15,00,000
(ii) Intangible Assets	5,00,000	5,00,000
2. Current Assets		
(a) Trade Receivables	6,00,000	3,50,000
(b) Cash and Cash Equivalents	2,00,000	1,50,000
Total	38,00,000	25,00,000

You are required to prepare Comparative Balance Sheet on the basis of the information given in the above Balance Sheet.